

persistently in single digits since 1991, four long years. In March 1993, it touched 6%, the lowest figure in the history of the indicator. Not only is this measure reflecting a top of historic proportion because of the level that it has reached, but also because of the long time that it has been there. At this point, the 8-year period of overvaluation from 1987 to 1995 balances the 8-year period of undervaluation in 1974-1982, reflecting the Fibonacci durations discussed in Chapter 4.

Book Value

Stocks are extremely overvalued in terms of corporate book value, as you can see in Figure 10-4. Up from a low of .82 in 1974, the price-to-book value ratio for the DJIA is now 3.81. Only the month-end reading for August 1929 was higher, at 4.23 times. If the Dow rises another 30%, this indicator could actually spike to a new

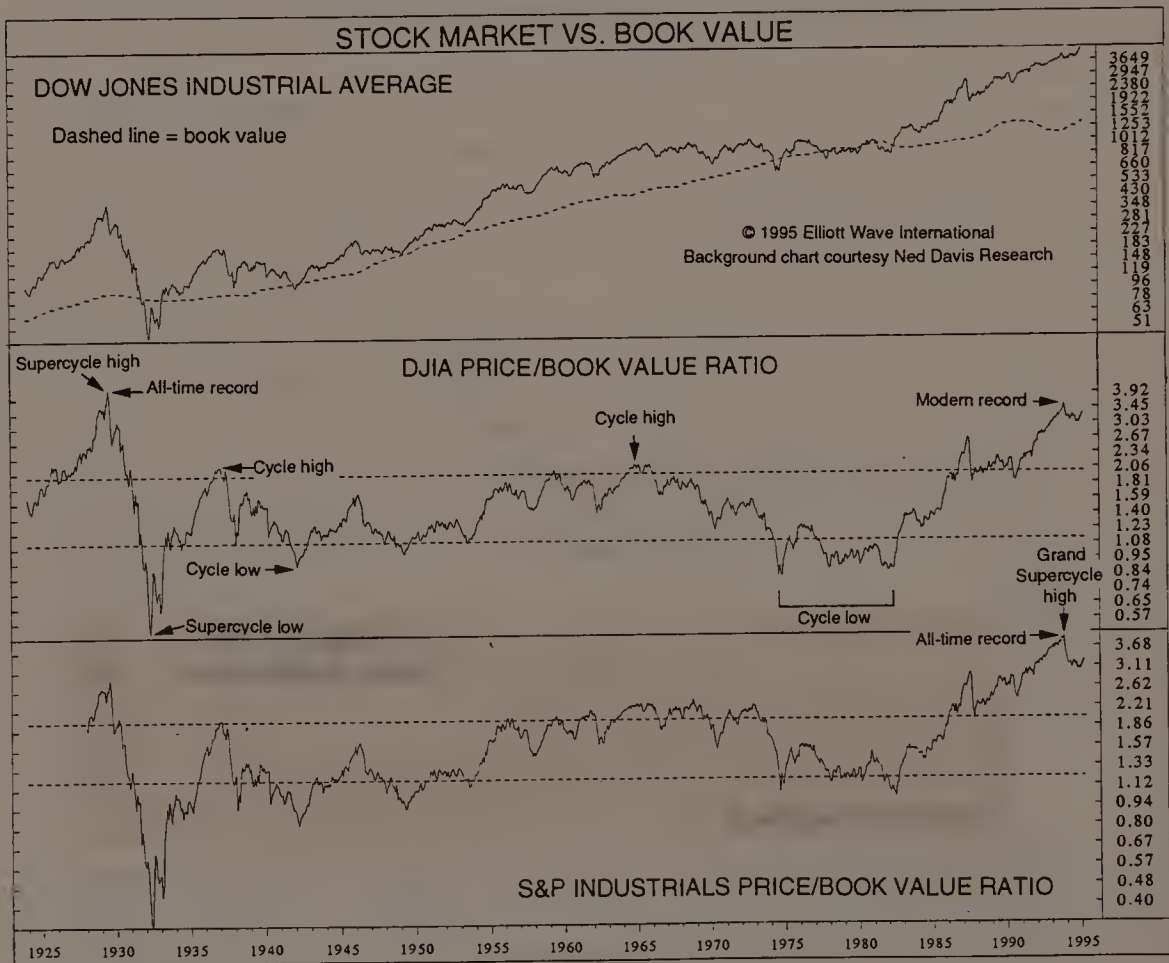


Figure 10-4